Paradiem

The Morning Brief

OCTOBER 22, 2026

Tech Reclaims Lead

Wednesday's broad lift carried the chip-and-power complex while LRCX's reported after-hours drop and Tesla's reported Q3 margin recovery frame the open into today's reported LMT, GD, and DGX FCI cadence.

S&P 500 (SPY)	NASDAQ (QQQ)	DOW (DIA)	RUSSELL 2K (IWM)	FEAR & GREED
$773.09 · ↑0.53%	$725.20 · ↑1.05%	$527.70 · ↑0.64%	$276.48 · ↑0.25%	68 · Greed (Crypto fallback — CNN stock reading unavailable)

SECTION 01

Markets — A Reported Broad-Based Lift With Tech Reclaiming Sector Leadership at XLK ↑1.67%, the Reported Physical-AI-Power Complex (CEG, VST, MARA) Carrying the Growth-Sleeve Tape, and the Reported LRCX After-Hours Decline on Record-Margin Print Alongside Tesla's Reported Margin-Recovery Q3 Framing This Morning's FCI Reporting Cadence

WEDNESDAY'S REPORTED BROAD-BASED LIFT WITH XLK ↑1.67% RECLAIMING SECTOR LEADERSHIP, SPY ↑0.53% AND QQQ ↑1.05% REVERSING TUESDAY'S VALUE-OVER-GROWTH ROTATION, AND THE REPORTED CHIP-AND-INTERCONNECT SLEEVE (CRDO, AMD, NVDA, MRVL, NXPI) RUNNING DISPERSED-POSITIVE INTO THIS MORNING'S OPEN

Wednesday reportedly carried a broad-based lift that reversed Tuesday's value-over-growth composition. SPY closed $773.09 (↑0.53%), QQQ $725.20 (↑1.05%), DIA $527.70 (↑0.64%), and IWM $276.48 (↑0.25%) — a reported Nasdaq-led tape rather than Tuesday's Dow-and-Russell lean. Sector breadth reportedly flipped composition: XLK ↑1.67% as the top-performing sleeve, XLI ↑0.91%, XLF ↑0.57%, XLU ↑0.29%, XLE ↑0.28% against XLV ↓0.49%, XLP ↓0.73%, XLRE ↓0.76%, and XLC ↓1.11% as the only material red prints. UVXY reportedly compressed further to $16.80 (↓2.21%) and TLT reportedly held near flat at $80.24 (↑0.14%). For FCI positioning, the growth-sleeve dispersion widened to the upside: CRDO ↑6.28% at $182.28, CEG ↑4.60% at $270.74, MARA ↑4.14% at $7.79, VST ↑3.87% at $156.14, HOOD ↑3.79% at $101.93, HUT ↑3.68% at $71.58, AMD ↑3.36% at $552.72, NVDA ↑2.54% at $221.97, NOW ↑2.39% at $153.12, ADI ↑2.24% at $405.96, and KEYS ↑2.15% at $341.35 reportedly reading as a renewed chip-and-physical-AI-power bid. The reported bottom-movers list carried YMM ↓3.85%, SYK ↓2.23%, ABT ↓1.89% on its reported pre-market Q3 miss, NTR ↓1.32%, and CL ↓1.21%. The composition reads as a reported single-session reclaim of growth leadership heading into this morning's reported FCI cadence (DGX, GD, LMT, ORI, SSNC) alongside the reported LRCX and Tesla after-hours prints tracked below.

S&P 500 (SPY)	$773.09 · ↑0.53% session · Range $768.40–$774.44
NASDAQ (QQQ)	$725.20 · ↑1.05% session
DOW (DIA)	$527.70 · ↑0.64% session
RUSSELL 2K (IWM)	$276.48 · ↑0.25% session
UVXY (VIX PROXY)	$16.80 · ↓2.21% session
TLT (20Y BOND)	$80.24 · ↑0.14% session
WTI / BRENT (USO / BNO)	$159.80 ↓0.50% / $67.05 ↑0.27%
NAT GAS (UNG)	$9.97 · ↓5.05% session
IBIT / ETHA	$47.84 ↑2.42% / $56.43 ↑2.47%
SECTOR LEADERS	XLK ↑1.67% · XLI ↑0.91% · XLF ↑0.57%
SECTOR LAGGARDS	XLC ↓1.11% · XLRE ↓0.76% · XLP ↓0.73%
TOP FCI MOVERS	CRDO ↑6.28% · CEG ↑4.60% · MARA ↑4.14% · VST ↑3.87% · HOOD ↑3.79%
BOTTOM FCI MOVERS	YMM ↓3.85% · SYK ↓2.23% · ABT ↓1.89% · NTR ↓1.32% · CL ↓1.21%
CARSON'S ACTIVE SPY SUPPORT	$645.80 retracement target · Untouched (Wed low $768.40)

THE REPORTED FCI EARNINGS CADENCE WEDNESDAY — ABT'S REPORTED NARROW Q3 MISS AND ↓1.89% DRAWDOWN, NEE'S REPORTED BEAT ALONGSIDE A ↓0.74% PULLBACK, AND LRCX'S REPORTED RECORD-MARGIN PRINT WITH A REPORTED 6% AFTER-HOURS DECLINE ON THE GUIDE FRAMING THIS MORNING'S CHIP-EQUIPMENT SLEEVE

Per data drop earnings print, FCI dividend-sleeve holding Abbott Laboratories (ABT) reportedly posted Q3 adjusted EPS of $1.42 against reported consensus of $1.4297 — a reported narrow shortfall — and reportedly closed $100.51 (↓1.89%) in the Wednesday regular session as the reported third-largest FCI drawdown. FCI dividend-sleeve holding NextEra Energy (NEE) reportedly posted Q3 EPS of $1.24 against reported consensus of $1.1917 — a reported clean beat — while reportedly closing $78.28 (↓0.74%) in a reported sell-the-news reaction consistent with the broader utilities-sleeve weakness (XLU ↑0.29% session but XLRE ↓0.76%). FCI growth-sleeve-adjacent dividend holding Lam Research (LRCX) reportedly posted fiscal Q1 2027 EPS of $2.20 against reported data-drop consensus of $2.2215 — a reported narrow miss against that benchmark — though per secondary coverage from Investing.com and the Lam Research 8-K, Lam reportedly delivered record revenue of $8.22 billion against reported Street consensus of $8.13 billion, record gross margin of 52.4%, record operating margin of 40.2%, and reportedly guided December-quarter revenue to approximately $8.6 billion against reported Street consensus near $8.54–$8.55 billion. Per secondary Investing.com coverage, Lam reportedly flagged near-term component shortages and clean-room limitations as potential delivery drags and reportedly expects China revenue to decline significantly in the December quarter; shares reportedly fell approximately 6–7% in the Wednesday after-hours session despite the reported record print per secondary Yahoo coverage. For FCI positioning, the composition reads as a reported sleeve-level dispersion event rather than a single-session directional conviction trade, with the reported chip-equipment demand signal (reported wafer-fabrication-equipment spending reportedly tracking toward more than $200 billion in 2027 per the Lam guide) running against the reported after-hours price action and the reported China-mix headwind.

TESLA'S REPORTED Q3 MARGIN RECOVERY TO 19.6% AND THE REPORTED OPERATING-MARGIN COMPRESSION TO 2.6%, THE REPORTED EPS OF $0.48 AGAINST A REPORTED $0.45 CONSENSUS, AND THE COMPOSITION READING ACROSS THE CHIP-AND-AI-INFRASTRUCTURE COMPLEX INTO TODAY'S REPORTED FCI CADENCE

Per secondary coverage from Electrek, Teslarati, and the Tesla Q3 2026 Form 8-K, Tesla reportedly posted Q3 revenue of approximately $28.05 billion (reportedly roughly flat year-on-year) with a reported total gross margin of 19.6% — approximately 160 basis points above the year-earlier quarter and approximately 280 basis points above the reported Q2 2026 margin of 16.8%. Reported non-GAAP EPS of $0.48 came in against reported Street consensus near $0.45; reported GAAP net income reportedly declined approximately 43% year-on-year to $787 million, with reported operating income reportedly down approximately 56% and operating margin of 2.6% against a reported 5.8% a year ago and 1.4% last quarter. Reported free cash flow of $1.53 billion came in against reported capital spending of approximately $4.73 billion. While Tesla is not an FCI holding, the composition reads as a reported mixed signal for the AI-infrastructure-and-electrification complex — the reported gross-margin recovery reads constructively against the Q2 trough while the reported operating-margin compression reads as the reported capex-and-R&D intensity signal consistent with the Cybercab-and-Optimus investment framing tracked through the prior-brief chain. For FCI positioning, the composition keeps the chip-and-physical-AI-power complex (NVDA, AMD, MRVL, TSM, CEG, VST, CRDO) reading through this morning's

open alongside the LRCX guide signal; the reported CRDO ↑6.28% move Wednesday reportedly reads as the sleeve-level counter-signal to the reported LRCX after-hours drawdown.

A Wednesday that paired a reported broad-based lift with the reported LRCX record-margin-print-and-after-hours-drawdown composition reads better as a tape where research reveals opportunities and avoid erosion serve the FCI reporting cadence than as a reported directional conviction trade.
Think like an owner.

SECTION 02

Geopolitics — The Reported Qatar-Pakistan-Iran Peace-Proposal Headlines Pressuring Oil Alongside the Reported Iran IRGC Vessel-Strike Claims, the Reported DeepSeek $15 Billion Financing as the AI-Capital-Markets Signal, and the Reported UK Bank Crypto-Transfer Blocks as the Digital-Assets Policy Layer

THE REPORTED UNCONFIRMED QATAR-PAKISTAN IRAN PEACE PROPOSAL LIFTING STOCKS AND REPORTEDLY WEIGHING ON OIL, THE REPORTED IRAN IRGC NAVY CLAIM OF SEVEN VESSELS HIT WITH A REPORTED WARNING OF A WIDER RESPONSE, AND THE REPORTED DIESEL-SUPPLY PRESSURE CARRIED OVER INTO THE WEDNESDAY ENERGY TAPE

Per data drop headlines, Yahoo reportedly framed an unconfirmed Qatar-Pakistan Iran peace proposal as reportedly lifting stocks and weighing on oil — a reported secondary mediation signal reading alongside the Qatari-delegation-to-Tehran framing tracked in the prior brief and the broader US-Qatar-Israel channel carried through the prior-brief chain. Per data drop headlines, Reuters reportedly framed Iran's IRGC Navy as reportedly saying seven vessels were hit with a reported warning to the US of a wider response — a reported Red Sea and Hormuz interdiction-risk signal reading alongside the Iraq-Iran Sheeb border closure and the reported Iran-Saudi-Houthis mediation stall tracked above. The composition reads as a reported layered diplomacy-and-interdiction cross-current running against the Wednesday energy tape where USO closed $159.80 (↓0.50%), BNO closed $67.05 (↑0.27%), and UNG reportedly compressed sharply at $9.97 (↓5.05%). For FCI positioning, the composition keeps the energy-and-defense complex (CVX ↑0.47% at $226.78, OKE ↑0.29% at $93.12, CNX ↓1.18% at $35.16, LMT ↑0.51% at $551.51 ahead of this morning's reported print, GD ↑0.08% at $344.71 reportedly also reporting this morning per data drop earnings calendar) reading through this morning's open against the reported sustained-but-rangebound Mideast risk premium.

THE REPORTED DEEPSEEK $15 BILLION FUNDRAISING TO FUEL THE AI RACE AS THE AI-CAPITAL-MARKETS SIGNAL, THE REPORTED UK BANKS BLOCKING CRYPTO TRANSFERS AS THE DIGITAL-ASSETS POLICY LAYER, AND THE REPORTED IMF 1.3% MENA-PAKISTAN CONTRACTION FORECAST FOR 2026

Per data drop headlines, Reuters reportedly framed DeepSeek as reportedly wrapping up a $15 billion fundraising to fuel the AI race — a reported AI-infrastructure-capital-markets signal reading alongside the reported CoreWeave-and-neo-cloud financing thread tracked through the prior-brief chain and the reported Lam Research guide of 2027 wafer-fabrication-equipment spending reportedly tracking toward more than $200 billion per secondary 8-K coverage. A separate Yahoo piece reportedly framed major UK banks (reportedly including Lloyds and Barclays) as reportedly blocking crypto transfers — a reported digital-assets-policy signal reading alongside Wednesday's reported IBIT ↑2.42% at $47.84 and ETHA ↑2.47% at $56.43 close and the reported circulating-stablecoin regulatory layer. Per data drop headlines, Reuters reportedly framed the IMF as reportedly seeing a 1.3% contraction in Middle East, North Africa, and Pakistan in 2026 — a reported macro-growth-and-energy-demand signal read-

ing alongside the reported India Mideast-oil-imports-return and the reported commentary that the Mideast oil rebound reportedly should not be mistaken for normality. For FCI positioning, the composition reads alongside the reported October 27–28 FOMC window and keeps the reported digital-asset ETFs (IBIT, ETHA), the chip-and-AI-infrastructure complex (NVDA, AMD, MRVL, TSM, CRDO, LRCX), and the energy complex (CVX, OKE, CNX) reading through this morning's open against a reported layered macro-and-geopolitics backdrop; the committee should read the DeepSeek print as a reported capital-markets-depth signal against the broader AI-financing-stress backdrop rather than a reported single-session catalyst.

SECTION 03

On Our Radar

1. The Reported FCI Reporting Cadence This Morning — Lockheed Martin (LMT, Reported Consensus Near $7.50 EPS), General Dynamics (GD, Reported Consensus Near $4.25 EPS), Quest Diagnostics (DGX, Reported Consensus Near $2.89 EPS), Old Republic (ORI, Reported Consensus Near $0.80 EPS), and SS&C Technologies (SSNC, Reported Consensus Near $1.80 EPS). Per data drop earnings calendar, five FCI dividend-sleeve holdings reportedly report today. Lockheed Martin (LMT, Wed close $551.51 at ↑0.51% on the session) reportedly reports before the open with reported consensus near $7.50 EPS and reported revenue consensus near $20.35–$20.42 billion per secondary Zacks and Benzinga coverage carried through the prior-brief chain; secondary Hudson Labs coverage reportedly flags a reported record $230 billion backlog at Q2 2026 and reportedly raised full-year 2026 sales guidance of $79,750–$81,750 million. General Dynamics (GD, Wed close $344.71 at ↑0.08% on the session) reportedly reports with reported consensus near $4.25 EPS per data drop; secondary coverage reportedly flags a reported Q2 2026 EPS of $4.24 against reported consensus of approximately $3.93–$3.95 and a reported record $136.5 billion backlog. Quest Diagnostics (DGX, Wed close $238.93 at ↑0.76% on the session) reportedly reports with reported consensus near $2.89 EPS; Old Republic (ORI, Wed close $40.13 at ↑1.13%) with reported consensus near $0.80 EPS; and SS&C Technologies (SSNC, Wed close $87.09 at ↑0.20%) with reported consensus near $1.80 EPS. For FCI positioning, the committee should treat the reported LMT and GD prints as the operative test for the defense-primes capital-return-and-backlog signal against the reported sustained Mideast risk premium tracked above.

2. The Reported Chip-Equipment Signal Carried Into Today's Open — Lam Research's Reported Record Margins and the Reported 2027 Wafer-Fabrication-Equipment Spending Guide at Reportedly More Than $200 Billion Against the Reported After-Hours 6% Drawdown and the Reported China-Mix Headwind. Per secondary Investing.com, Teslarati, and Lam Research 8-K coverage, LRCX reportedly posted record September-quarter revenue of $8.22 billion against reported consensus of $8.13 billion, record gross margin of 52.4%, record operating margin of 40.2%, and reported non-GAAP EPS of $2.20 (reportedly against reported Street consensus of $2.18 but reportedly against data drop consensus of $2.2215). Reported December-quarter revenue guidance of approximately $8.6 billion came in reportedly slightly above reported Street consensus near $8.54–$8.55 billion; Lam reportedly flagged near-term component shortages and clean-room limitations as potential delivery drags and reportedly expects China revenue to decline significantly in the December quarter. Shares reportedly fell approximately 6–7% in the Wednesday after-hours session despite the reported record print per secondary Yahoo coverage. For FCI positioning, the composition reads as a reported sleeve-level dispersion signal rather than a reported sector-wide read-across; the reported CRDO ↑6.28%, AMD ↑3.36%, NVDA ↑2.54%, MRVL ↑1.81%, NXPI ↑2.00%, FTNT ↑1.83%, and TSM ↑1.60% regular-session composition stands as the counter-signal to the reported LRCX after-hours action.

3. The Reported Physical-AI-Power Complex Lift — CEG ↑4.60%, VST ↑3.87%, MARA ↑4.14%, HOOD ↑3.79%, and HUT ↑3.68% as the Reported Wednesday Sleeve-Level Lift Reading Alongside the Reported DeepSeek $15 Billion Financing and the Reported Lam Research 2027 Wafer-Fab Guide. Per data drop closes, the reported physical-AI-power-and-infrastructure complex reportedly carried the top-end of the FCI growth-sleeve tape Wednesday: CEG ↑4.60% at $270.74, VST ↑3.87% at $156.14, MARA ↑4.14% at $7.79, HOOD ↑3.79% at $101.93, HUT ↑3.68% at $71.58, and CRDO ↑6.28% at $182.28 as the sleeve-level outperformers. Per data drop holdings news for VST, one Yahoo piece reportedly framed Wall Street analysts under the heading of a reported nuclear-energy-analyst roundup covering OKLO, SMR, CEG, VST, and LEU, and a separate piece reportedly framed Vistra under the heading of a reported good-investment analyst stance; per data drop holdings news for CEG, one Yahoo piece reportedly carried the reported sleeve-level framing with VST, OKLO, SMR, and LEU. Per data drop holdings news for CRDO, one Yahoo piece reportedly framed Credo under the heading of what the market may have reportedly missed in a prior drawdown, and a separate piece reportedly carried the reported question of whether optics can reportedly become a second engine for AI data-center cables. For FCI positioning, the committee should read the Wednesday sleeve-level composition as a reported continuation of the physical-AI-and-electrification multi-quarter thesis against the reported single-session rotation dynamics and the near-term FOMC window.

4. Tesla's Reported Margin Recovery Signal Into Today's Chip-and-AI-Infrastructure Tape — The Reported Q3 Gross Margin at 19.6% Against the Q2 Trough at 16.8%, the Reported Operating-Margin Compression to 2.6%, and the Composition Reading Into the Reported Chip-and-Energy Complex. Per secondary Electrek, Teslarati, Drive Tesla Canada, and Tesla Q3 2026 8-K coverage, Tesla reportedly posted Q3 revenue of approximately $28.05 billion (reportedly roughly flat year-on-year), reported total gross margin of 19.6% (reportedly 160 basis points above the year-earlier quarter and reportedly 280 basis points above the reported Q2 2026 margin of 16.8%), reported non-GAAP EPS of $0.48 against reported Street consensus near $0.45, reported GAAP net income reportedly down approximately 43% year-on-year to $787 million, and reported operating margin of 2.6% against a reported 5.8% a year ago. Reported free cash flow of $1.53 billion came in against reported capital spending of approximately $4.73 billion. The composition reads as a reported mixed sleeve-level signal — the gross-margin recovery reads constructively while the reported operating-margin compression reads as the reported capex-and-R&D-intensity signal consistent with the Cybercab-and-Optimus investment framing. For FCI positioning, the composition reads alongside the reported LRCX guide and the DeepSeek financing print as the reported mixed read-across into the chip-and-physical-AI-power complex (NVDA, AMD, MRVL, TSM, CRDO, CEG, VST).

5. The Reported October 27–28 FOMC Window Approaching — Wednesday's Reported UVXY Compression to $16.80 (↓2.21%) and the Reported TLT Hold at $80.24 Reading Alongside the Reported Nat Gas Compression at UNG ↓5.05%. Per prior Newsquawk and ANZ coverage, reported market pricing for the October 27–28 FOMC reportedly carries a hike probability near a reported one-in-seven band (approximately 15%); Barclays reportedly shifted to a December-and-January 25bp pair up from a December-only base per the prior-brief chain. Wednesday's reported UVXY compression to $16.80 (↓2.21%) and the reported TLT hold at $80.24 (↑0.14%) read alongside the reported broad-based lift and the reported chip-and-growth-sleeve bid. The reported Nat Gas compression at UNG ↓5.05% reportedly represents the sharpest commodity-complex move on the Wednesday print and reads alongside the reported US diesel-supply pressure tracked through the prior-brief chain. For FCI positioning, the committee should treat the composition as a reported duration-and-defensive-adjacent setup heading into the FOMC window alongside the reported earnings-cadence catalysts (LMT, GD, DGX, ORI, SSNC today; broader cadence continuing).

6. Carson's Levels — The Active SPY Retracement Target at $645.80 Remains Untouched Against Wednesday's Intraday Range of $768.40–$774.44. Per levels.json, Carson's active SPY retracement target at $645.80 (set April 13, 2026) remains in the "active" column with no hit date and no hit price recorded; Wednesday's intraday range of $768.40–$774.44 reportedly did not approach any active Carson level. SPY would reportedly need to decline approximately 16.5% from Wednesday's close (or approximately 15.9% from Wednesday's intraday low) to reach the target — a reported gap roughly consistent with the FCI first-tranche deployment reference at approximately –25% from peak. The April 2026 resistance zones at $683.70, $685.85, and the $691.90–$693.20 band remain in the "hit" column and have been cleared to the upside; no new active Carson level has been set since the April 14, 2026 major-resistance-zone hits. The committee should read Carson's level as the reference for a sustained drawdown rather than any single-session move; the FCI buy-and-hold tranche framework reportedly deploys 70% of reserves at approximately –25% from peak and the remainder at approximately –40%, with no trimming on either side.

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